

Operations Manager Danielle Cabrero
Assistant Property Manager:

Square Feet:	50,133
% Leased:	94.14%
% Occupied:	94.14%

CASH	Monthly Actual	Monthly Budget	Variance	% Change	YTD Actual	YTD Budget	Variance	% Change
Total Income	349,463	340,807	8,656	2.54%	2,174,866	2,216,321	(41,455)	-1.87%
Total Operating Expenses	133,032	128,389	(4,643)	-3.62%	904,761	1,032,963	128,202	12.41%
Net Operating Income	216,431	212,418	4,013	1.89%	1,270,105	1,183,358	86,748	7.33%
Total Owners Expense	250,837	5,025	(245,812)	-4891.79%	(105,683)	45,075	150,758	334.46%
Adjusted Net Operating Income	(34,406)	207,393	(241,799)	-116.59%	1,375,788	1,138,283	237,506	20.87%
Corporate G&A Expenses	10,629	18,458	7,829	42.41%	111,322	120,858	9,536	7.89%
Interest Expense	145,075	160,833	15,758	9.80%	997,164	1,125,831	128,667	11.43%
Net Income after G&A & Interest	(190,110)	28,102	(218,212)	-776.50%	267,303	(108,406)	375,709	-346.57%

Revenue (per cash income statement)

MTD Revenue variance is over budget due to:

- \$12K Parking Rent higher than anticipated

This is offset by:

-(3.5K) PCR slightly less than anticipated

YTD Revenue variance is under budget due to:

- (\$65.5k) Humpy's PYC deferral

- (\$22K) PYC credits

- (\$5K) PCR less than anticipated

Offset by:

- \$51K Parking Rent higher than anticipated

Operating Expenses (per cash income statement)

MTD Expenses variance is under budget due to:

- (\$14K) Site Furnishing (unbudgeted repair/replacement of trash receptacles)

This is offset by:

-\$10K Timing of Trash and Electric invoices

YTD Expenses are under budget due to:

- \$26K Timing of Security invoices. Management is holding payment due to non-compliant insurance. Release in July and August

- \$27K Timing of Parking Lot Repairs - SVN is gathering bids

- \$21K Timing of Trash Invoices due to change in vendor

- \$27K Unused contingency for Plumbing, Landscape Consumables

- \$26K Water/Sewer less than anticipated

Offset by:

- (\$10.3K) Property Insurance higher than allocated

- (\$17K) Site Furnishing (unbudgeted repair/replacement of trash receptacles)

Owner Expenses

MTD Owner expenses are over budget due to:

-(3K) Legal Fees - Fosters

-(4K) Professional Fees

Please see the "Fosters Rebuild Costs" tab for more details.

YTD Owner expenses are over budget due to:

-(5K) Legal Fees - Fosters

-(10K) Professional Fees - Paracorp, Tax Prep, and ICSC

This is offset by:

-\$4K Marketing

-\$5K Utilities and Licensing

Please see the "Fosters Rebuild Costs" tab for more details.

New Leases	
Chong Quin Hot Pot (old Outback space)	Term: 10 years w/2 5-yr Options Rent: \$13,000 YR 1-2 with increases in years 3 & 6 Possession Date: 10/28/25 RCD: 6/25/26 (240 days after possession date) Lease has been fully executed and tenant is designing space for permitting. Tenant has finalized plans and submitting to County for permits. Satisfaction of Contingencies letter sent 10/28/25. Tenant has paid first month's rent and Security Deposit. Tenant has submitted plans and is in Health Department for permitting. Minor issue surfaced on enclosing the patio and mechanical drawings have been resubmitted to the County of Hawaii, EPIC. Paper plans were also sent express mail to Kona for hand delivery and processing at the State of Hawaii, Department of Health, Sanitation Branch. The EPIC review was completed fairly quick and returned to tenant in early March. Tenant submitted revised plans to the County and structural and fire comments were received back. Tenant is addressing both issues with their architect.
Executed Renewals (12 months from current period)	
ABC Store 75 (SF 3,000)	Lease Expiration Date: 12/31/2030 Rent: \$8.00 PSF Option: Tenant has one (1) remaining, five (5) year option. Notice due 120 days prior to expiration. Notes: Tenant exercised one of its remaining two options to extend the term at \$8/PSF. Second Amendment was executed on 7/17/25. New lease term commenced 1/1/2026.
Kona Gear (SF 962)	Lease Expiration Date: 3/31/2029 Rent: \$6.70 PSF for 3 years/\$80.40 PSF, plus NNNs Percentage Rent: Remains at 10%, including the 1% marketing fee Option: Tenant has one (1) remaining, three (3) year option with a 3% Base Rent increase. Termination Option: 150-day notice with a \$10,000 termination fee/buyout. Notes: New lease term commenced 4/1/2026.
Café Kona (SF 994)	Lease Expiration Date: 8/31/2031 Rent: \$3.85 PSF until Foster's opens (approximately 10/26), then increases 3%. Option: Tenant has one (1) remaining, five (5) year option at FMV. Notice due 180 days prior to expiration. Notes: New lease term commences 9/1/2026. - 5 year option - Landlord approved FMV Rent - flat until Foster's open, then 3% increase w/annual increases thereafter. - Parking - Landlord denied request to have his customers to get 1 hour free with validation then half-off and no complimentary parking for owner's vehicles. - Eric Kim would like to be added to the lease (all guarantors remain in place). Landlord approved and management requesting his financials. - Waive 2024 PYC - \$7K - 2025 PYC is a credit of \$3,700 - Management will tell him we are waiving billing for both and clear it up internally. - Exclusive Use as a tenant that "operates a primary coffee shop or cafe concept" - Landlord approved primary coffee shop, no other tenant with more than 50% sales from coffee, we will NOT agree to the word "cafe" in the exclusion.
Renewals (12 months from current period)	
Gypsea Gelato (SF 500)	Lease Expiration Date: 5/31/2027 Rent: \$5.46 PSF Option: Tenant has zero (0) remaining options. Notes: Management reached out to tenant to discuss renewal.
Gross Sales Reporting (Trends & Issues)	
Gross Sales increased for the following tenants: - Big Island Running: In July 2026, tenant generated \$57,003 in sales, reflecting a 23% increase over June and 14% over prior year - ABC Stores: In July 2026, tenant generated \$600,118 in sales, reflecting an 11% increase over June and 3% over prior year - Ocean's: In July 2026, tenant generated \$136,150 in sales, reflecting an 8% increase over June and 16% over prior year - Gypsea Gelato: In July 2026, tenant generated \$59,806 in sales, reflecting a 3% increase from June, but a 1% decrease from prior year - Taka Sushi: In July 2026, tenant generated \$59,432 in sales, reflecting a 9% increase over June and 14.5% over prior year Gross Sales decreased for the following tenants: - Kona Gear: In July 2026, tenant generated \$98,254 in sales, reflecting a 6% decrease from June and 3% less than prior year - Island Lava Java: In July 2026, tenant generated \$409,811 in sales, reflecting a 3% increase from June, but an 18% decrease from prior year	

Tenant Issues
Parking: Parking rates were updated mid year and we have seen consistent growth in Parking Revenue since the change. Parking revenue is up almost 100% from \$18k in 2024 to \$35k in 2025. Parking complaints have greatly reduced. Now the Village Businesses are concerned parking rates are too high in the Village. A portion of the 2024 parking revenue was applied to tenant accounts to help offset NNN charges. Coconut Grove Marketplace is very competitive. The parking ordinance (Bill 133) did not pass and City Council will not be limiting parking rates. Parklnq has added parking rates to all entrance signs. Humpy's and Laverne's: Third Amendment has been fully executed. Beginning July 1, 2025, and expiring on August 31, 2026, the Monthly Gross Rent that shall be due and payable shall equal the greater of (i) ten percent (10%) of gross sales plus sales tax on that amount and (ii) twenty-five thousand and 0/100 dollars (\$25,000.00) each month (the "New Conditional Rent"). On September 1, 2026, Tenant shall resume paying Monthly Minimum Rent, Percentage Rent, and all Additional Rent due under the Lease. Landlord applied \$11k security deposit to Humpy's outstanding balance. The remaining balance of \$110,521.46 will be deferred through 8/31/26. Humpy's is looking to assign lease/sell the business; CEO of TS Restaurants liked the space and location. SVN waiting to hear back. Fosters - Kitchen fire occurred 7/1/25. Kona Pele and Tasty Kona were affected but were able to reopen within a day or two. Management worked with several vendors in both tenant spaces to mitigate damage. Kona Haven was able to reopen on 7/3/25. Fosters is undergoing insurance investigation and may be closed for several months. The cause of the fire seems to be from a fryer spark. Rents will be paid via the Insurance companies in the meantime. Final insurance inspection completed and rebuilding process will begin. Fosters has complained about parking and sent a breach of contract notice to Landlord. Response was sent to tenant's attorney on 9/12. The insurance company has released rent and NNN through the end of 2025. Demo has been completed and restoration planning has begun. Fosters is still complaining about parking and may use in renegotiation of opening back up. Landlord is negotiating restructure with tenant. Roof work has been completed. Estimated reopening date is November 2026.
Foster's Fire
Foster's Kitchen fire incident was reported on 7/1/25, and Foster's has been closed since that date. Tasty Kona and Café Kona were closed until 7/5/25 due to water damage and electrical concerns. The fire and water damage remediation work has been completed, and the restoration proposals are being reviewed by the adjuster. Insurance payment of \$250K was received to cover rent from the date of the incident to December 2025 as well as some of the cleaning and demo work. Management received an additional \$190k to cover restoration costs and 2026 rent and impounds. Contract was signed and payments have been mailed to Premier Hawaii Restoration, BH Properties and Bargreen. Roof work has been completed. We have received a new bid and are awaiting one more, and we will revise the estimates after receipt and review of the new bids. Estimated reopening date is November 2026.
Operation Issues
Parking Lot - SVN received bids slurry/seal and stipe of the parking lot, but the original set came in high. SVN obtaining additional bids for Landlord review. Elevator Lava Java - Elevator mod has been completed all deficiencies have been addressed. Pending final state re-inspection before the permit is issued and final payment released. Monument Sign Kuakini - Sign was damaged during the recent storms. Management reviewed design specs of new sign and approved. One proposal was received (\$12.6k), SVN obtaining second bid before work is approved. Management continues to follow up. Concrete Curbing replacement was completed in June 2026. Paid Parking w. Parklnq - In July 2026, Coconut Grove Marketplace generated \$44,202.54 in net revenue, reflecting a 5% increase from June's \$42,007.06. Year-over-year, revenue increased 60% compared to \$27,700.51 in July 2025, continuing the property's strong growth trend. A total of 4,423 paid vehicles parked in July, a 2% increase from June. Each parking stall produced an average of \$659.74 in revenue, while the average length of stay remained at 3 hours. Friday was the busiest day of the week, while peak activity occurred between 10:00 AM and 1:00 PM. Reservation Distribution: A total of 8,287 vehicle reservations were recorded in July, approximately 2% more than June. Compliance & Tenant Parking: Compliance remained strong at 96%. Employee and permit parking registrations increased to 601 license plates, compared to 598 in June. Overall, July reflected another strong month for Coconut Grove Marketplace, with steady month-over-month revenue, and revenue more than doubling year-over-year, higher paid parking activity, and healthy participation across the property's standard, validated, and kama'āina parking programs. The property continues to demonstrate strong demand while maintaining balanced utilization across standard, validated, and free parking users. Parking rates were updated as of April 2026: 3 hours free parking for locals with validation and \$3/hr after first 3 hours; \$12 max/day. Tourist rates are \$6/hr with validation; \$18 max/day. Parking rates are also prorated, so if a customer buys 30 minutes of parking at \$6/hr, they will receive a refund and only pay \$3/hr with validation plus they receive an hour of free parking. Parklnq has also added parking rates at entrance signs and is working with the county's improvement district for sign permits. Bill 133 for the Parking Ordinance did not pass. Tourism: Tourism is up 6.8% in Kona. Hotel occupancy is 72.6% which is 1.6% down from 2025 in West Hawaii and 2.7% down in the Kohala Coast. University of Hawaii Economic Office is projecting Hawaii will be in a recession in 2026. Air traffic numbers are still unavailable.
Capital Projects / Tenant Improvements
1) Parking Lot Sealing and Striping - SVN received bids slurry/seal and stipe of the parking lot, but the original set came in high. SVN obtaining additional bids for Landlord review. 2) UIC Well - Bongo Ben's - Bid approved for 2026 maintenance. Working on contract with vendor. 3) TS Restaurants is passing on the space for now. Alex Blust and Sammy Hagar are looking at putting a two concepts, Sammy Hagar Bar and Grill and Cabo Wabo in Kona. Cabo Wabo would be in Laverne's. 4) Foster's Kitchen - Tenant negotiating agreement with Landlord and looking to reopen by November 2026. 5) Q Pot building - Roof work completed. 6) Exterior Painting - all buildings are due for exterior painting. SVN obtaining bids for 2027 budget



Operations Manager: Danielle Cebrero
Assistant Property Manager: Audrey Verrette

Square Feet: 50,133
% Leased: 94.14%
%Occupied 94.14%

Tenant Delinquency

Tenant	Over \$2,500	Action Taken / Legal Update
Lucasie	\$ 3,120.13	Balance due reflects 2026 NNN short pays and 2025 PYC offset by 2024 PYC credit. Working with Nir Levav to pay the remaining balance.
Humpy's	\$ (39,301.31)	Credit reflects 2025 PYC reversal . The balance is being deferred as part of the amendment.
Lavernes	\$ -	Balance due reflects July rents paid in August. Tenant has a \$0.00 balance
Chong Hot Pot	\$ 5,073.45	Balance due reflects June and July charges offset by Pre-paid Rent. Tenant has not paid August either. They are disputing their Rent Commencement Date. Management continues to follow up.
Total	\$ (36,181.18)	

Covid 10 - Deferred Rent Notes
Coconut Grove
July 2026

Operations Manager: Danielle Cebrero
Assistant Property Manager: Audrey Verrette

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Tenant	Outstanding	Rent Recovery Agreement
Taka Sushi	\$ 7,974.45	Past due balance due to delayed opening. Tenant will pay back \$26,581.50 beginning January 1, 2023 over the remainder of the term at \$443.03/mo.
Total:	\$ 7,974.45	

Operations Manager: Danielle Cebrero Assistant Property Manager: Audrey Verrette				Square Feet: 50,133 % Leased: 94.14% % Occupied: 94.14%
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Group	Tracked	COI on File	COI in Compliance	DOC on File	DOC in Compliance	Notes
Coconut Grove Retail XIII LLC	ABC Stores #75	Yes	Yes	Yes	Yes	
Coconut Grove Retail XIII LLC	Big Island Running Company	Yes	Yes	Yes	No	Tenant DOC expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Kona Haven USA Corp./Cafe Kona	Yes	Yes	Yes	No	Tenant DOC expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Foster's Kitchen	Yes	Yes	Yes	Yes	
Coconut Grove Retail XIII LLC	Gecko Girlz	Yes	Yes	Yes	No	Tenant DOC expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Gypsea Gelato	Yes	Yes	Yes	Yes	
Coconut Grove Retail XIII LLC	Humpy's Big Island Alehouse	Yes	No	Yes	No	Tenant COI and endorsement pages are expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Island Lava Java	Yes	Yes	Yes	Yes	
Coconut Grove Retail XIII LLC	Jack's Diving Locker	Yes	No	Yes	Yes	Tenant COI expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Kanaka Kava, Inc.	Yes	No	Yes	No	Tenant COI expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Kona Gear	Yes	Yes	Yes	No	Tenant DOC/ WOS expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Lucasie	Yes	No	Yes	Yes	Tenant is in compliance with the exception of Auto Coverage. Management to follow up on policy.
Coconut Grove Retail XIII LLC	Laverne's	Yes	No	Yes	No	Tenant COI and endorsement pages are expired. Management following up on renewal.
Coconut Grove Retail XIII LLC	Oceans Sports Bar and Grill	Yes	Yes	Yes	Yes	
Coconut Grove Retail XIII LLC	Q Pot Kona	Yes	Yes	Yes	Yes	
Coconut Grove Retail XIII LLC	Taka Sushi	Yes	Yes	Yes	No	Additional endorsement pages expired. Management following up on renewal.

Executive Summary
Coconut Grove
July 2026

Operations Manager: Danielle Cebrero
Assistant Property Manager: Audrey Verrette

Square Feet: 50,133
% Leased: 81.41%
%Occupied: 81.41%

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Tenant	Service	Doc on File	Doc in Compliance	Notes
Cafe Kona	Hood	No	No	Management requested docs from tenant.
Jack's Dive Locker	HVAC	Yes	No	Management requested docs from tenant.
Foster's Kitchen	Grease Interceptor	No	No	Management requested docs from tenant.
Foster's Kitchen	Hood	No	No	Management requested docs from tenant.
Gecko Girlz	Grease Interceptor	Yes	No	Management requested docs from tenant.
Humpy's Big Island Alehouse	Grease Interceptor	No	No	Management requested docs from tenant.
Humpy's Big Island Alehouse	Hood	No	No	Management requested docs from tenant.
Island Lava Java	Hood	No	No	Management requested docs from tenant.
Kanaka Kava, Inc.	Grease Interceptor	No	No	Management requested docs from tenant.
Laverne's	Grease Interceptor	No	No	Management requested docs from tenant.
Laverne's	Hood	No	No	Management requested docs from tenant.
Lucasie Limited	Grease Interceptor	No	No	Management requested docs from tenant.
Lucasie Limited	HVAC	Yes	No	Management requested docs from tenant.
Ocean's Sports Bar and Grill	Grease Interceptor	Yes	No	Management requested docs from tenant.
Ocean's Sports Bar and Grill	Hood	No	No	Management requested docs from tenant.
Taka Sushi	Grease Interceptor	Yes	No	Management requested docs from tenant.
Taka Sushi	Hood	Yes	No	Management requested docs from tenant.

Executive Summary
Coconut Grove
July 2026

Operations Manager: Danielle Cebreiro
Assistant Property Manager:

Square Feet: 50,133
% Leased: 94.14%
% Occupied: 94.14%

Payments Received	
11/3/2025	\$250,000.00
2/27/2026	190,223.76
3/9/2026	\$861,186.79
Total	\$1,301,410.55

Expenses to Date	
Fosters Mechanical fee	2,094.24
Dry off panel board from water, turn on circuit breakers 50% Dep	16,906.75
Diagnose a problem	393.4
Foster Fire Claim	1,947.64
Foster Restoration	68,652.00
Foster Restoration	3,597.72
Café Kona Restoration	8,609.08
Foster Insurance claim	1,162.30
Foster Restoration	129,574.83
Kitchen Equipment	197,088.93
Premier Restoration	18,717.43
Additional Kitchen Equipment	110,000.00
Premier Restoration	6,500.00
Bargreen Ellingson	2,855.00
SCL Builders Deposit	230,591.10
Total	\$798,690.42

Future Expenses	
Balance of Initial Contract	138,028.21
Anticipated Additional Work	125,000.00
Construction Management Fee	32,471.29
Total	\$295,499.50

Rent and NNN To Date	
25-Jun	\$25,907.06
25-Jul	\$25,907.06
25-Aug	\$25,907.06
25-Sep	\$25,907.06
25-Oct	\$25,907.06
25-Nov	\$25,907.06
25-Dec	\$25,907.06
26-Jan	\$23,777.97
26-Feb	\$23,777.97
26-Mar	\$23,777.97
26-Apr	\$23,777.97
26-May	\$23,777.97
26-Jun	\$23,777.97
26-Jul	\$23,777.97
Total	\$347,795.21

Remaining Rent	
26-Aug	\$24,135.34
26-Sep	\$24,135.34
Total	\$48,270.68

Total Paid Expenses to Date and Forecasted	\$1,490,255.81
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Balance	(\$188,845.26)
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